CHAPTER 1

Overview

Overview of the significant policy initiatives during 2007-08, the performance of the economy of the State, major developments and related issues.

The context of the Economic Survey 2007-08 is significant and distinctive in the sense that it is the beginning of the Eleventh Five Year Plan 2007-12. Further, the Goa Right to Information Act, 2006 casts explicit responsibility on the Government to disseminate information on the relevant macro-economic parameters with a view to ensuring transparency and facilitating enlightened discussion on various economic issues. Accordingly, the Economic Survey 2007-08, while providing an overview of the major economic developments during 2007-08, also contains information on other relevant issues.

The enactment of the Fiscal Responsibility and Budget Management (FRBM) Act, 2006 by the Government of Goa is a landmark development. The objective of the Act is to ensure fiscal stability and sustainability through progressive elimination of revenue deficit and planned reduction of fiscal deficit. Besides, it will help in prudent and sustainable debt management as also transparency in the fiscal operation of the Government. The FRBM Act sets the target to reduce revenue deficit to NIL and to bring down the ratio of fiscal deficit to Gross State Domestic Product (GSDP) to 3% by 31st March 2009. Having switched over to the Value Added Tax (VAT), the revenue of the Government is buoyant. During 2002-03 to 2005-06, the compound annual growth rate of non-tax revenue is of the order of 22% and that of tax revenue is 12%. During the first year of implementation of VAT, the tax collection registered growth of 31% over the previous year 2004-05. During 2005-06, the revenue collection was Rs. 901.80 crore, during 2006-07 the collection was Rs.1022.01 crore & during 2007-08 (upto Jan.' 08) it was Rs. 953.17 crore.

During the Tenth Five Year Plan, the expenditure during the successive Annual Plans has progressively risen from Rs. 423.21 crore in 2002-03 to Rs. 567.60 crore in 2003-04, Rs. 766.81 crore in 2004-05, Rs. 958.25 crore in 2005-06 and Rs.1069.96 crore in 2006-07. The utilization as percentage of the outlay is of the order of

78% in 2002-03, 87% in 2003-04, 90% in 2004-05, 93% in 2005-06 and 89% in 2006-07. The approved outlay for the Annual Plan 2007-08 is Rs. 1316.00 crore. A distinguishing feature of plan spending is that over 40% is accounted for by the Social Services. It is a measure of the confidence in the growth potential of the State's economy that much higher performance is being envisaged for it during the Eleventh Five Year Plan. The Planning Commission has put the indicative growth target at 12.1%, with agriculture growth at 7.7%, industry growth at 15.7% and services growth at 10% which is well above the national growth rate.

In the wake of the FRBM legislation, the GSDP has acquired a legal dimension. Accordingly, the accuracy of and the precision in its estimation will also be of crucial significance for ensuring the success of the fiscal consolidation efforts and in striking a better balance between the performance of the real sector and the financial sector of the economy of the State. Therefore, at the outset, a discussion on the theory, methodology and practice of the estimation of the GSDP and related concepts may be in order. The existence of unemployment and poverty in the face of the high rate of growth of the economy of the State appear paradoxical and necessitate a summary analysis at this juncture. Also, in a globalizing economy, the dynamics of migration require to be understood in all its dimensions. Besides, the magnitude of financial resources required on account of renewal of the existing infrastructure and/or creation of new infrastructure is of a very high order. Therefore, the trends in resource mobilization and the feasible options in this regard require to be examined. Accordingly, these issues are discussed ahead and also the relevant information is appropriately highlighted in boxes.

I) Gross State Domestic Product

The Estimates of Gross and Net State Domestic Product (GSDP and NSDP) and their movement over the years are considered as the most important single Micro economic aggregates to measure the growth and to study the structural changes taking place in the economy of the State. The State Domestic Product is defined as the aggregates of the economic value of all goods and services produced within the geographical boundaries of the State, counted without duplication during the specified period of time usually a year. The Gross Value Added (GVA) i.e. value of output minus the value of intermediate consumption is a measure of the contribution to SDP made by an industry or sector. GVA is the source from which the primary incomes of the system are generated. The GSDP net of the Consumption of Fixed Capital (CFC), which is the decline in the current value of the stock of fixed assets in the process of production, is called the Net State Domestic Product (NSDP).

The generic estimation model has been laid down in the revised System of National Accounts (SNA) 1993, prepared under the

auspices of the Inter-Secretariat Working Group on National Accounts, which was set up under the joint responsibility of the Commission of the European Communities-Eurostat, International Monetary Fund, Organization for Economic Co-operation and Development, United Nations and World Bank and unanimously approved by the Statistical Commission of the United Nations. Accordingly, the Central Statistical Organization has prescribed the methodology for the purpose and w.e.f. January 31, 2006, it has introduced the New Series of National Accounts Statistics with 1999-2000 as the base year.

i) Shift of base year

The process of development and advancement in technology brings improvement and emergence of new sub sectors in the economy. Gradual improvement in the availability of basic data over the years compels the SDP series compilers to review the methodology with a view to update the data base and shift the base year to more recent year. As a result, the base year for the present series has been shifted to 1999-2000. Quick estimates for 2006 have been prepared using revised guidelines provided by CSO, New Delhi during the workshop held in Nov.' 2006.

The three major component influencing the present revision exercise which includes (i) Revision to the base year to more recent year (for meaningful analysis as the structural changes in the economy), (ii) Completes review of the existing data base and methodology employed in estimation of various Micro Economic aggregates including choice of the alternative data base on individual subject, (iii) To the extent feasible, implementing the recommendation of the System of National Accounts (SNA)1993 prepared under the auspices of the Inter-Secretariat Working Group on National Accounts comprising of the European Communities (EUROSTAT), International Monitory Fund (IMF), Organisation for Economic Corporation and Development (OECD), United Nations and World Bank.

In this revised series new economic activities viz. (i) Other private communication (ii) Renting of Machinery and other equipments without operator (iii) Computer related activities in unorganized segment (iv) Coaching Centre (v) Social work with accommodation (vi) Recreation, cultural and support activities have been included.

The important procedural changes made in the new series are (i) using the production data provided by the National Horticulture Board (NHB) for all horticultural crops (with the exception of those covered under principal crops) and using the price data provided by the State Directorates of Economics and Statistics (State DESs) for all crops; (ii) introduction of a new basic material, 'fixtures and fittings' in the construction sector in addition to the existing 4 basic materials for estimating the value of output of construction sector; (iii) netting the

retained reserves and dividends paid from the property income of mutual funds for the purpose of estimating the output of banking sector; (iv) aligning the estimates of capital formation by industry of use with that of assets, (v) adjusting for reinvested earnings in India of foreign companies in the estimates of saving of private corporate sector and the consequential changes in the external transactions account, (vi) including in the private corporate sector's GFCF, the domestic consumption of software (net of public sector purchases) and the expenditures incurred on construction of assets by the newly set up companies before they commence production and (vii) treating the operating losses of departmental commercial undertakings as imputed subsidies, in line with the practice currently followed for irrigation departments.

BOX 1.1

SDP-Some commonplace yet crucial facts

The SDP is 'estimated' unlike other financial and monetary variables viz., tax receipt, revenue expenditure, fiscal deficit etc., which assume finality in the sense of becoming 'actual'. An estimate is as robust as the methodology, the technique and the practice in use for the purpose. Besides, the estimate is likely to be revised if and as and when a better or improved measure of the same becomes available.

On year-to-year basis, wide fluctuations may be observed in the growth in SDP. Therefore, long-term trend growth in SDP is more relevant than a summary static description or point-to-point comparison of the estimate(s) of SDP growth. Accordingly, the average annual rate of growth of SDP during the Five Year Plan period is considered an appropriate measure to reflect on the performance of the State's economy.

With effect from January 31, 2006, the base year for the preparation of the National/State Accounts has been changed from 1993-94 to 1999-2000 to take into account the structural changes that have taken place in the economy as also to make use of the availability of detailed data at sectoral level. Accordingly, the sectoral estimates based on the new series on National Accounts Statistics with 1999-2000 base may vary from the previous series.

ii) The Measurement in practice, with particular reference to Goa

For the Primary and Secondary sectors, where information regarding production of goods and services and the intermediate consumption (input use) is directly available locally, the SDP is calculated at the State level. These sectors account for approximately 40% of the SDP, in case of Goa. For the supra-regional sectors viz., Railways, Communications, Banking & Insurance and Public Administration, which contribute approximately 12% to the SDP of Goa, the Central Statistical Organization (CSO) prepares the annual estimates at the State level by allocation of national total. The allocation is communicated to each State and it forms part of the SDP.

For the rest of the sectors, which account for the remaining 48% of the SDP in case of Goa, because of non-availability of data on comparable basis at the State level, the estimates are prepared indirectly at the national level by the CSO and are allocated to the States with the help of proportions derived from other relevant comparable data/indicators at the State level. Hence, in case of Goa, only 40% of the SDP may be estimated directly at the State level whereas the remaining 60% has to be estimated indirectly at the National level. This presents as a serious limitation in working out the quick estimates for the current year and advance estimates for the subsequent year as also in finalizing the provisional estimates. The reconciliation of comparable estimates of SDP at the all-India level by the CSO entails a lag of two years after which the final estimates are released by the CSO.

II) Eleventh Five Year Plan 2007-12

The National Development Council (NDC) in its 54th meeting held on December 19, 2007 approved the Eleventh Five Year Plan formulated by the Planning Commission. The document titled “towards faster and more inclusive growth” defines the strategy, which may be pursued with the objective of attaining annual average growth rate of 9% at the all-India level during the first 3 years of the Eleventh Five Year Plan and raising the growth rate to 10% during the last 2 years.

The indicative growth rate for Goa, which is considered necessary to support the all-India growth rate, is 12.1% with agricultural growth of 7.7%, industrial growth of 10.5% and services growth of 10% and this growth rate to be achieved with around objectives of faster and more inclusive growth, enhanced emphasis on social security, qualitative health and education services creation of quality infrastructure based on PPP format and giving further fillip to the evergrowing information technology for the State of Goa.

The overall strategy of the Eleventh Five Year Plan is predicated, *inter-alia*, on doubling the growth in the agricultural sector. This is essential more so to ensure that the gains of economic growth are more evenly distributed and the goal of inclusive growth is realized. While the contribution of agriculture in Goa's

SDP has declined steeply over the decades, there is still a large population which is dependant on the agriculture sector. Of the 5,22,855 workers enumerated in the 2001 Census, 50,395 are cultivators and 35,806 are agricultural labourers. The occupational structure has altered significantly and with reference to the 1991 Census, the number of cultivators and agricultural labourers has declined by 26.6% and 20.0% respectively. However, the significance of the agriculture sector in the economy of the State may not be overemphasized.

A decrease in the share of the primary sector and corresponding increase in the share of the secondary and tertiary sectors in the GSDP is associated with development on the analogy of the industrialized and developed economies. However, while the phenomenon is true empirically, it also necessitates that the productivity in the primary sector increases and the labour, which is displaced in the process, is absorbed productively in the secondary and tertiary sectors. There is evidence that agricultural productivity in the State especially in paddy and cashewnut has increased. There exists considerable scope for increasing both the production and productivity in dairy, poultry and floriculture where the rising demand is being met with imports from the neighbouring States.

Diversification from traditional cropping patterns has been advocated as another plank in the process of reform in the agriculture sector. However, this has to be buttressed with transmission of appropriate technology through effective extension services and crop insurance. Agriculture is the first in the list of 29 subjects, which have been transferred to the Village Panchayats as per the Goa Panchayati Raj Act, 1994. The implementation of the MoU signed between the Government of Goa and the Government of India, Ministry of Panchayati Raj in 2006 as also the contract farming legislation is expected to go a long way in ushering a set of new programmes, policies and processes in the agriculture sector.

III) Unemployment

i) The Concept

In the standard neo-classical labour theory, the unemployed are defined as those who are in search of and are willing to work, but cannot find it at the going wage. This is referred to as 'involuntary unemployment' on the premise that the going wage clears the labour market and the inability to obtain work is voluntary. Subsequently, the notion of 'disguised unemployment' was developed in the context of sectors dominated by subsistence family enterprises. It refers to persons who are apparently employed but have zero or low productivity in the subsistence sector and may, therefore, be transferred to the modern high productivity sectors without any loss of output in the subsistence sector.

ii) The Measurement

In practice, the estimates of labour force, employment and unemployment are based on the results of the decennial demographic census and the intervening sample surveys conducted by the National Sample Survey Organization (NSSO). Unemployment is measured through the labour force survey, which basically ascertains the activity status of the respondents during a particular reference period, which may be a week, a month or a year. The labour force comprises the employed and the unemployed. Accordingly, the rate of unemployment is defined empirically as the proportion of labour force that is unemployed and it is expressed in percentage terms. The unemployment rate is specific to the activity status, which is unique for the reference period.

iii) The employment-unemployment surveys

The NSSO conducts the employment-unemployment surveys in India through quinquennial Rounds designated for the purpose. It ascertains the activity status of the Respondents during the reference period of one year, which is referred to as 'usual status'. A person is considered employed if s/he was employed for the majority period during the year. Accordingly, a person who was not employed during the majority period during the year is counted as unemployed. However, shorter spells of unemployment are captured on the basis of 'weekly status', which measures unemployment for even 1 hour during the week. Also, the 'daily status' basis is used in respect of the labour force engaged in work that is seasonal, short-term and without defined tenure. However, under this measure, the unique activity status is dispensed with.

Empirical research based on ordering of the various measures of unemployment rate at the all-India level observed during the last three decades of the 20th Century has demonstrated that while the usual status unemployment rate is the lowest, the daily status unemployment rate is the highest. It implies that although frequent unemployment spells may not be uncommon yet, only few persons are effectively unemployed throughout the year.

iv) The NSS Results

The results of the 61st Round of NSSO (July 2004-June 2005) which have recently become available, show that at the all-India level, the annual growth rate of employment which had declined from 2.1% during 1983-94 to 1.6% during 1993-2000 went upto 2.5% during 1999-2005. However, while employment has risen, the unemployment rate has also registered marginal increase from 2.8% as evidence in the 55th Round (July 1999-June 2000) to 3.1% in the 61st Round.

The results of the 61st Round, which are based on the large sample show that at the all-India level the 'usual status' adjusted unemployment rate in the rural areas is 1.7%

[Male (1.6%) and Female (1.8%)] while in the urban areas it is 4.5% [Male (3.8%) and Female (6.9%)]. The corresponding figures for Goa are 11.1% [Male (9.1%) and Female (15.7%)] and 8.7% [Male (7.6%) and Female (11.8%)] respectively. This compares with the results of the 60th Round (January to June 2004) in which at the all-India level the 'usual status' unemployment rate in the rural areas was 0.9% [Male (1.3%) and Female (0.5%)] while in the urban areas it was 1.9% [Male (2.5%) and Female (1.2%)]. The corresponding figures for Goa are 4.4% [Male (3.8%) and Female (5.1%)] and 6.7% [Male (6.0%) and Female (7.3%)] respectively. During the 55th Round (July 1999-June 2000), the usual status unemployment rate in the rural areas of Goa was 9.9% [Male (7.0%) and Female (18.7%)] and 19.1% [Male (15.3%) and Female (35.2%)] in the urban areas.

However, the fact that the estimates of the NSS are relevant for the major States i.e with population of 100 lakh or more as per the 2001 Census, in respect of Rural or Urban sector separately and accordingly the reliability of the estimates for the smaller States and UTs is constrained due to the sample size, has to be considered while making one-to-one comparison and drawing conclusion.

v) Paradox of high growth and high unemployment

Unemployment poses a challenge and it is a paradox that the high rate of growth is accompanied by high rate of unemployment. While overall employment has grown in recent years and the workforce has increased, the number of unemployed has also grown alongside. The total number of job seekers in Goa as in 2006 is 1,01,847. However, to a large extent, in the given context, the problem appears to be more of underemployment vis-à-vis unemployment, per-se. It is a fact that the workforce statistics do not fully capture the diversity either of the labour force or the form, nature and quality of employment. The Employment Exchange data is not truly reflective of the employment and unemployment situation. This is because job placement also takes place outside the purview of Employment Exchanges. While all the registrants are job seekers, they may not necessarily be unemployed. Also, their names may continue on the live register even after finding employment.

The new economic policies in the wake of globalization and a larger role for the private sector have resulted in the wage structure becoming competitive. Also, it has been a conscious decision of the successive Governments in the State to be selective with regard to industrialization and promote by and large only non-polluting service oriented industries. The state-of-the-art technology employed in such industries may limit the creation of a large number of job opportunities. The observed phenomenon of in-migration to take up unskilled and high-skilled jobs alongside out-migration of semi-skilled and high-skilled personnel implies mismatch between supply and demand in

different fields of economic activity within the State. Therefore, vigorous efforts may be required across sectors to ensure a better fit between the qualification and job profile so that the budding potential of the educated and youthful population is productively utilized.

III) The Fifth Economic Census, 2005

The field-work of the Fifth Economic Census in Goa was conducted during April-May 2005 and the census schedules were processed using the Intelligent Character Recognition (ICR) technology for the first time. The revised provisional results based on quick manual tabulation of information contained in the enterprise abstract indicate that there are 80,925 enterprises, excluding crop production and plantation, in the State, of which 42,771 (52.8%) are rural and 38,154 (47.2%) are urban. The total employment in these enterprises is 2,45,677 persons comprising 1,20,267 (49%) in rural enterprises and 1,25,410 (51%) in urban enterprises. Only 1.9% of the enterprises employ 10 or more workers. Also, 65.7% of the total workers are hired and adult female workers comprise 21% of the total workers.

As compared to the previous Economic Census (EC), the total employment has increased by 13.8% and the number of enterprises has grown by 12.9%. Accordingly, the compound annual growth in enterprises is 1.75% while the compound annual growth in employment is 1.87%. Also, 91.2% of the enterprises are engaged in non-agricultural activities. However, the proportion of agricultural enterprises has risen from 5% in 1998 to 8.8% in 2005 and also their number has grown from 3476 to 5311, which represents increase of 52.8%. This implies that economic activity related to the farm sector has picked up. The detailed results of the Fifth Economic Census will be released in a separate report subsequently.

IV) Poverty

i) The Poverty Line

The official estimates of poverty are rooted in the consumption norm of 2400 calories per capita per day for rural areas and 2100 calories per capita per day for urban areas. The poverty line for the base year 1973-74 was defined as the per capita expenditure level corresponding to these average calorie norms, as per the NSS household consumption expenditure survey for the corresponding year. The Planning Commission has been estimating the incidence of poverty based on the above methodology as per the report of the 'Expert Group on Estimation of Proportion and Number of Poor' and applying it to the consumption expenditure data from the 'large' sample surveys on consumer expenditure, of which the 55th Round [July 1999 to June 2000] is the latest. Accordingly, based on State-specific poverty line, the proportion of poor in Goa was estimated at 4.40%, which is among the lowest in the country. The corresponding estimate for rural poverty is 1.35% and for urban poverty it is

7.52%. Subsequently, the Planning Commission has estimated that the Below Poverty Line percentage is around 13% and the detailed results are awaited.

ii) The Goa Rural Employment Guarantee Scheme

The Government of India notified the National Rural Employment Guarantee Act (NREGA), 2005 with a view to strengthen livelihood opportunities and assets in rural areas. It provides legal guarantee of providing 100 days of employment in a financial year to a rural household within 15 days of demanding employment, failing which unemployment allowance would be paid. While 100% Central Assistance is admissible for fulfillment of the guarantee of providing employment within 15 days, the unemployment allowance would be at the State cost. The programme was extended to 200 districts on February 2, 2006 and it is expected to cover the entire country in 5 years. The other wage employment programmes viz., Sampoorna Grameen Rojgar Yojana (SGRY) would be subsumed in it. However, presently since Goa is not covered, the Goa Rural Employment Guarantee Scheme (GREGS) has been modeled as per the NREGA, 2005. The scheme envisages to provide livelihood opportunities and to enhance wage security in the rural areas of the State by guaranteeing at least 100 days of wage employment in a financial year to every household whose adult members volunteer to do unskilled manual work.

iii) Other Initiatives

A large number of schemes sponsored by the Government of India viz., Swarana Jayanti Gram Swarojgar Yojana (SJGSY), Sampoorna Grameen Rojgar Yojana (SGRY), National Social Assistance Programme (NSAP), Integrated Wasteland Development Programme (IWDP), Balika Samrudhi Yojana (BSY), Pradhan Mantri Gram Sadak Yojana (PMGSY) are already under implementation. The mainstreaming of slum development and urban poverty alleviation is being considered also under the Jawaharlal Nehru National Urban Renewal Mission (JNNURM).

For the first time a Tribal Sub Plan (TSP) has been prepared in the State. The Special Component Plan (SCP) in respect of the Scheduled Caste is already in operation. Funds for the TSP and SCP have been earmarked in proportion to the population of the ST and SC respectively. Also, the backward talukas of Sattari, Sanguem, Canacona, Quepem, Bicholim and Pernem are receiving special focus.

The Twenty Point Programme (TPP) - 1986 has been restructured in conformity with the priorities of the Government as contained in the National Common Minimum Programme (NCMP), the Millennium Development Goals (MDG) of the United Nations and the South Asian Association for Regional Cooperation (SAARC) Social Charter.

iv) Poverty-the larger dimension

The poverty debate has spawned a whole range of new ideas and concepts. Within the developed nations of the world, the contours of poverty are being examined afresh, e.g., in terms of the philosophy of 'social exclusion'. Social exclusion refers not only to poverty and low income but some of their wider causes and consequences arising from the gamut of linked problems such as unemployment, low skills, low incomes, inadequate housing, crime, poor health and family breakdown. In addressing the scourge of poverty and inequality, the real issue consists in increasing economic opportunities and capabilities for individuals and households and widening them further.

V) Migration

Migration is a major factor in changing the size and structure of the population and the process impacts the area to which migrants move in as also the area from which they move out. As per NFHS-III the Total Fertility Rate (TFR) in the State being 1.8 (2005-06), which is below the replacement rate, i.e. 2.1, it would follow that the increase in population is not on account of reproduction. However, whether the given TFR will eventually translate into lower population will depend on the age structure of the population and other variables and it is an issue that would require expert analysis. The Census of India 2001 has listed 2,28,869 in-migrants State-wise whose last residence was in States outside Goa and 9,759 out-migrants. Assuming that all the migrants, whose last residence was in States outside Goa, were all settled in Goa at the point of enumeration, these would constitute 17% of the total population, as per the 2001 Census. The subject is discussed ahead in chapter 2, item g. In the context of the formulation of Eleventh Five Year Plan, the Planning Commission has estimated that at the all-India level considerable cross-migration will be involved if the State-wise employment needs and opportunities are to be met.

VI) Resource Mobilization

The conventional methods of resource mobilization have relied primarily on imposition of taxes viz., income tax, sales tax, trade tax, excise duty etc., as the principal source. This was supplemented with borrowings in the domestic market, external loans and grants. Of late, non-tax revenues viz., fees and user charges, auction proceeds etc., have emerged as new sources with considerable potential. Also, revenue generation from more productive utilization of the existing assets is being given due recognition. In our federal set-up, the transfer of resources from the Centre to the States comprises devolution by the Finance Commission under Article 280 of the Constitution of India, Central Assistance by the Planning Commission and assistance by the Ministries and Departments towards the Centrally Sponsored Schemes administered by them. The phenomenon of declining Normal Central Assistance (NCA) to Goa, as per the Gadgil-Mukherjee formula has been

a recurring theme.

i) The constraints on the budget

The budget of the Government has become more comprehensive and analytical, which facilitates its detailed scrutiny. The explicit taxes were always a matter of controversy and debate from the taxation point of view. However, with growing importance of civil society initiatives and the emphasis on transparency, accountability and good governance, the implicit taxes, i.e., when Government acquires goods, services, assets or factors of production at less than market value, have come in for sharp focus and scrutiny. So also is the expenditure financed by off-budget borrowings and on account of contingent liabilities, i.e., fiscal risks, which a Government has to bear when uncertain events occur. The Government of Goa has enacted the Guarantee Ceiling Act and set up the Consolidated Sinking Fund and Guarantee Redemption Fund with the Reserve Bank of India to manage the future liabilities. For the first time in the country, it has undertaken risk assessment of Government guarantees in association with ICRA. Pension reforms in the State were already initiated and again for the first time in the country, the process of setting up of Pension Liability Fund has also begun.

In the context of the FRBM Act, while fiscal profligacy has to be avoided, it is being feared that forced fiscal stringency may impose costs in terms of unemployment and lost economic output. The reining in of the deficit, *per-se*, may not necessarily result in the desired outcome. This is because while FD indicates the overall quantum of the borrowings by the Government to meet the total expenditure, it does not tell whether the expenditure is on revenue account or on capital account. On the other hand, the expenditure on social sectors, which is classified as revenue expenditure, as per budgetary convention, may conflict with the target of reducing the RD. On average, 40% of the plan expenditure of the State is on social services, which by and large entail grants and subsidies from the budget on the revenue account. Therefore, what is necessary to ensure is that while non-development-non-plan expenditure is slashed, the development expenditure, which results in creation of productive economic assets to generate future revenue streams, does not suffer in the process. The investment on human resources by way of expenditure in education, health, water supply & sanitation civic amenities and welfare is of this ilk.

BOX 1.2
THE SWISS CHALLENGE SYSTEM

The reach and expanse of the private sector that includes the Multi National Corporations has acquired interesting dimensions. Thus, private companies on their own accord approach the Government and put forth proposals for projects, which have not been solicited by the Government formally or informally. Since these are unsolicited, Government is under no obligation to consider them. In fact, some countries have prohibited such proposals by legislating against them. However, realizing that not every unsolicited proposal may be devoid of merit, others have transformed them innovatively into competitively tendered projects. This has been achieved through various routes.

The Intellectual Property Rights inherent in the concept proposed by a private company may be bought by the Government and then awarded through normal competitive bidding. However, another option is to award it in a competitive bidding process but with pre-defined advantage to the proponent/initiator of the concept. The 2 main approaches that have developed in regard to offering the proponent/initiator a pre-defined advantage are known as the "Bonus System" and the "Swiss Challenge System". Under the former, a bonus is credited to the bid of the proponent/initiator while under the latter, third parties are allowed to come up with better offers, thus challenging the proponent/initiator during a designated period, after which the proponent/initiator has a right to counter match such offers. However, the essence of handling unsolicited proposals successfully consists in ensuring complete transparency and maximizing competition.

On the issue of the Swiss Challenge Model, the Planning Commission has opined that it is to be treated as an exception to the normal rule of awarding projects through competitive bidding. Also, with regard to the selection and appointment of Consultants for PPP projects, it has advised that since it is possible to engage consulting firms on the basis of transparent competitive bidding, there does not seem to be any compelling reason for violating the established norms.